

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$242.19 ▲ 5.43%

12M Price Target
\$285.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$217.66B

MRVL: AI Optical Deal + GloFo Expansion Reignite Rally

WHAT HAPPENED

- MRVL popped 5.4% on two real catalysts: the expanded GlobalFoundries SiGe (silicon-germanium — a specialty chip material used in high-speed optical connections) deal for AI data centers, and a new AI optical capacity agreement. Translation: hyperscalers are locking in more of Marvell's data center connectivity chips, which is the highest-margin, fastest-growing part of the business.
- The stock has now recovered the entire 8% drawdown from Sept 11-14 in just three sessions on rising volume — that's a bullish reversal pattern where buyers are stepping in aggressively at the dip.

WHY IT MATTERS

The GlobalFoundries expansion is bigger than it looks — it signals Marvell is capacity-constrained on AI optical chips, which is a "good problem" that means demand is outrunning supply. That's exactly what you want to see in a cyclical semi name. The options market is screaming bullish (call buyers outnumbering put buyers 2-to-1, with a huge unusual call trade at \$250 strike expiring October) — smart money is betting this run continues into the next earnings print. The bigger picture: every hyperscaler (Amazon, Google, Microsoft, Meta) is in a capex arms race that shows zero signs of slowing, and Marvell's custom silicon business is arguably the second-most-important AI infrastructure story after Nvidia.

POLICY & POLITICAL WATCH

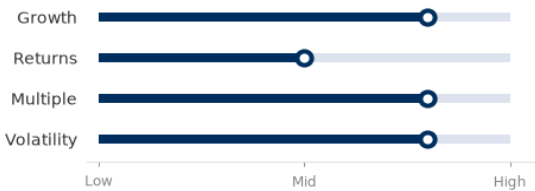
The CHIPS Act (federal subsidies for domestic semiconductor manufacturing) continues to be a direct tailwind — Marvell's expanded partnership with GlobalFoundries, a US-based foundry, is exactly the kind of onshoring the government is subsidizing. Watch the ongoing US-China export control debates: the current administration has kept tight restrictions on advanced chip exports to China, which hurts Marvell's ~15% China revenue exposure but also blocks Chinese competitors from catching up. The AI executive order framework being negotiated in Congress could mandate domestic-sourced networking chips for federal AI infrastructure — if that passes, Marvell is one of maybe three US companies positioned to win those contracts.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$242.19
12M Price Target	\$285.00
Upside / (Downside)	+17.7%
Market Cap	\$217.66B
FY2027E Revenue	\$8,900M
FY2028E Revenue	\$11,200M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	85.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$265.00	\$250.00	\$220.00
6 Months	\$310.00	\$275.00	\$210.00
1 Year	\$350.00	\$285.00	\$190.00
2 Years	\$420.00	\$320.00	\$175.00
5 Years	\$600.00	\$425.00	\$200.00
10 Years	\$900.00	\$550.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.3% today) is leading everything, driven by renewed AI infrastructure enthusiasm and OpenAI news reminding investors that model scaling continues. Semis specifically are catching a bid on hyperscaler capex reaffirmation.

COOLING OFF: Utilities and Real Estate have been sluggish over the past week — money is flowing out of defensive/yield sectors and back into growth as rate cut expectations firm up.

ROTATION WATCH: Classic risk-on rotation — money moving from bond proxies into AI infrastructure winners. The CHIPS Act reauthorization discussions in Congress are quietly supporting the whole domestic semi supply chain.

RELATED PLAY: If Marvell's optical connectivity story keeps working, look at the fiber/optical component suppliers (Coherent, Lumentum) and the AI power infrastructure names (Vertiv, Eaton) — they benefit from the same data center buildout without the customer concentration risk.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Direct MRVL competitor in custom AI silicon — winning big on Google TPU work.
- NBIS (Nebius): Neocloud provider highlighted in Barron's today — riding the AI compute demand wave.
- CRWV (CoreWeave): AI hyperscaler-lite that's a direct customer of chip suppliers like MRVL.

MRVL CONTEXT: Marvell is now trading at 66% of its 52-week range, meaning it has recovered strongly but still has room versus the \$329 high. It's leading semis today but has lagged Broadcom over the past quarter — that gap is the setup for a catch-up trade if the custom silicon narrative broadens beyond AVGO.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$218-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium custom silicon deal or hyperscaler capex cut >15%

Hedging: Buy protective puts or pair with a short on a richer-multiple AI name like ARM